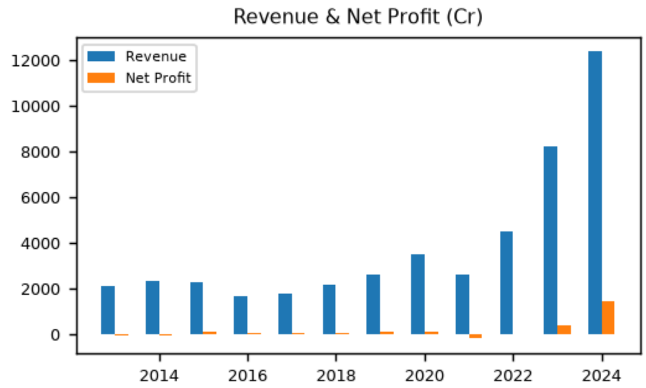
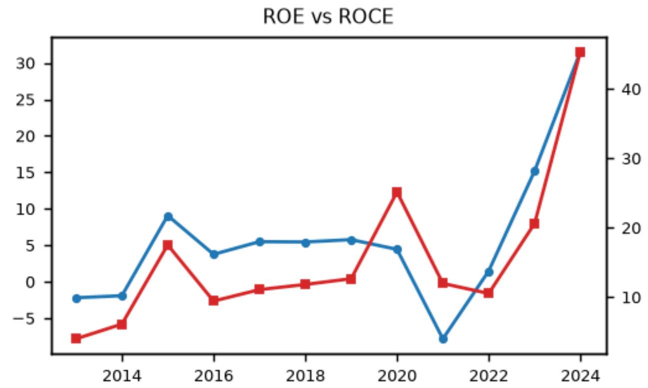
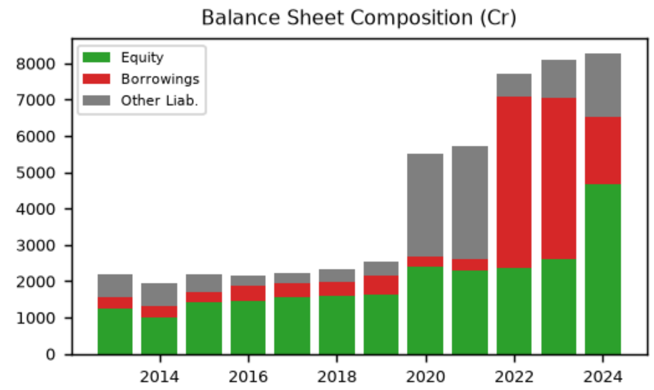
Trent Ltd (TRENT)

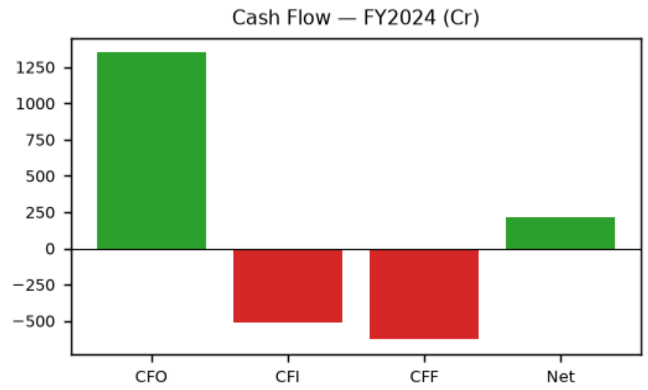
Consumer Discretionary · Fiscal Year 2024

ROE 31.6%	**ROCE** 45.4%	**Net Profit Margin** 11.9%
D/E 0.4	**Revenue CAGR 5yr** 36.3%	**FCF (Cr)** 841









Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Growing asset base funded by internal accruals reflects self-sustaining growth

Cons

- Debt-to-equity ratio of 0.39 is elevated for a non-financial company and warrants monitoring

Capital Allocation: Reinvestor